Do Closing Minority Depository Institutions Affect Credit in Their Communities

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Abstract

I investigate the role of Minority Depository Institutions (MDIs) in promoting credit accessibility in underserved, racially diverse urban communities. I construct a panel dataset and employ an event-study design, treating MDIs and non-MDIs branch closures within census tracts as interventions. The effects are largely minimal, with a few notable exceptions: 1) Asian MDI branch closures lower large mortgage originations within the Asian community, 2) Hispanic MDI branch closures lower small business loan (SBL) originations for small firms, while, 3) non-MDI branch closures lower mortgage originations in Black communities served by Black MDIs. Surprisingly, non-MDI bank branch closures increase total SBL originations. Using lender-level Herfindahl–Hirschman index (HHI), I show branch closures do not lead to more concentrated lending markets, rather encourage entry of non-local and non-bank lenders. The results highlight the evolving role of physical bank branches in an increasingly digital banking landscape.

JEL Classification Codes: G20, G21 , L10

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